

TVS Motor Company Ltd

TVSMOTOR | Latest fiscal period 2024-03

37.0

HEALTH · Weak

ROE

26.2%

ROCE

14.1%

OPM

14.1%

DEBT / EQUITY

3.8x

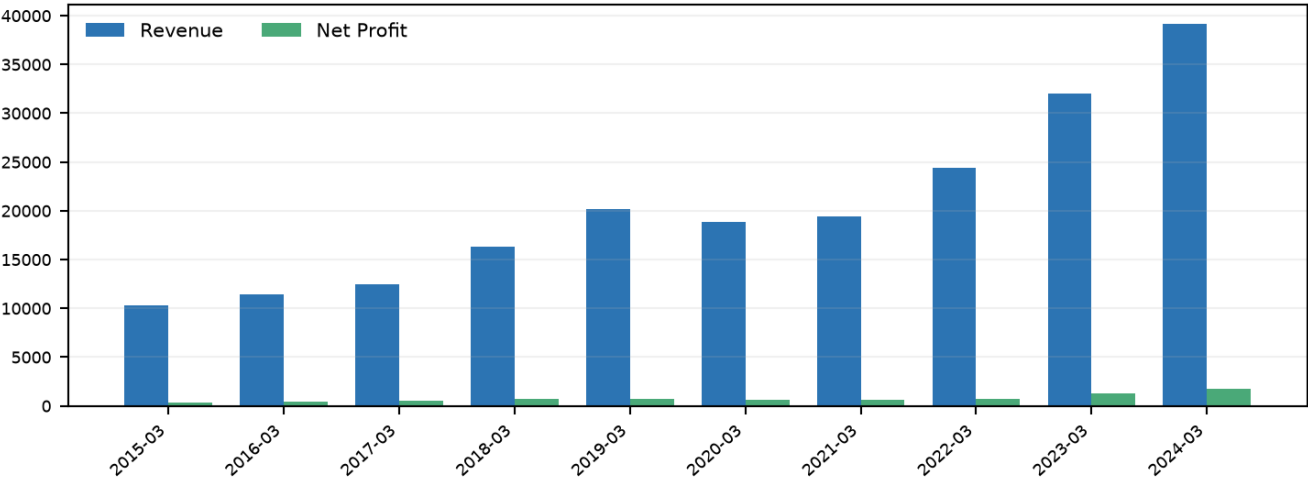
REVENUE CAGR 5Y

14.2%

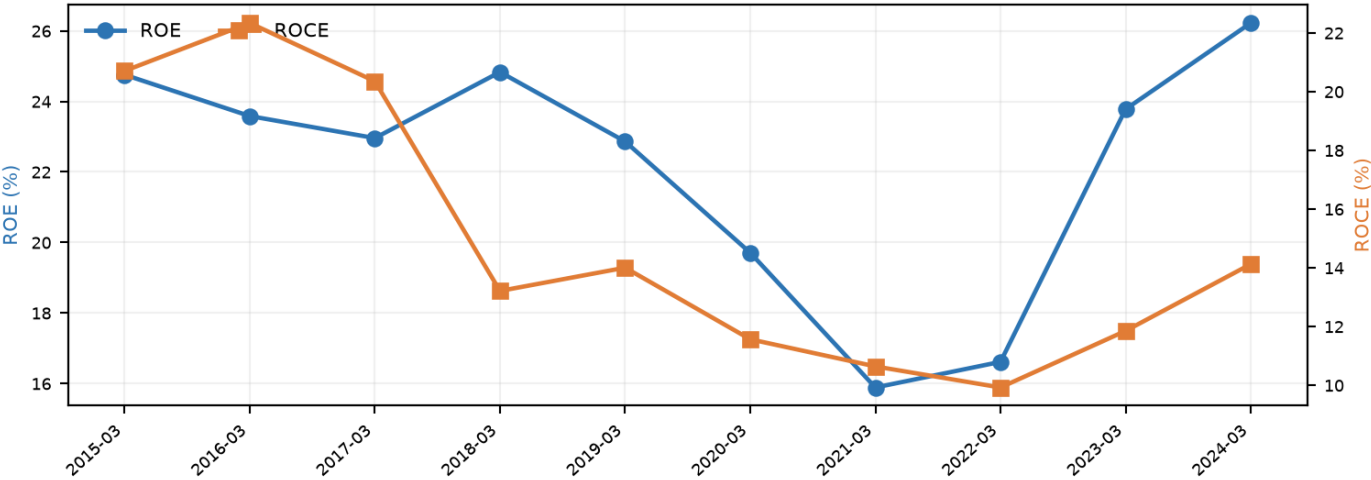
P/E

46.1x

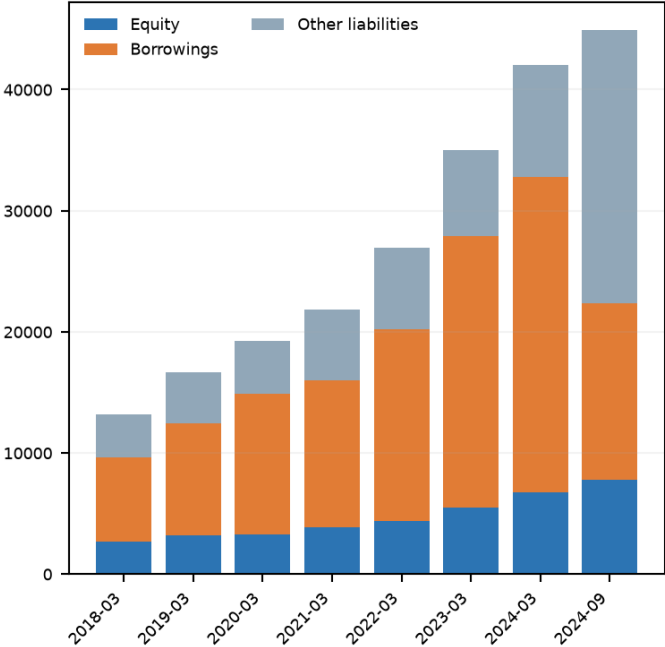
10-Year Revenue and Net Profit (INR Crore)



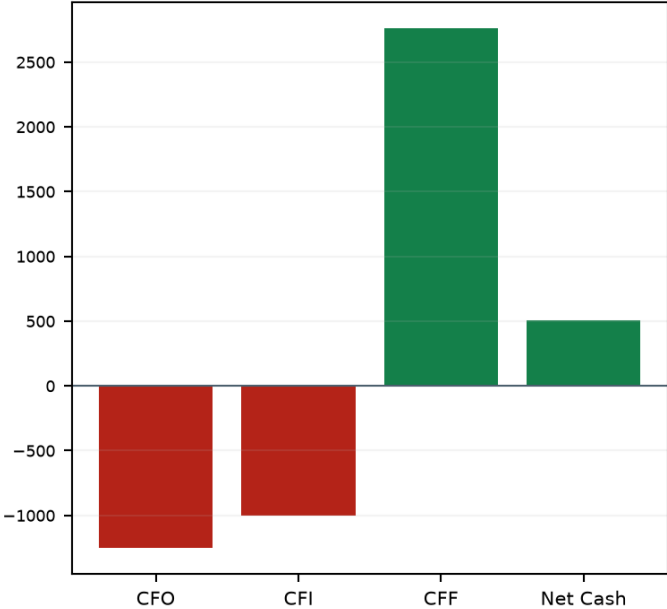
ROE and ROCE Trend



Balance Sheet Composition



Latest Cash Flow Waterfall (2024-03)



Pros

- Return on equity improving for 3 consecutive years shows strengthening business quality
- Growing asset base funded by internal accruals reflects self-sustaining growth
- Revenue growing slower than profits shows improving operating leverage and scale benefits
- Earnings per share growing above 15% CAGR indicates strong earnings quality and compounding

Cons

- Free cash flow negative for 3 consecutive years raises concern about cash generation quality
- Debt-to-equity ratio of 3.83 is elevated for a non-financial company and warrants monitoring
- Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility